

HOUSE BILL 2095

By White

AN ACT to amend Tennessee Code Annotated, Title 43,
Chapter 6, Part 5 and Title 49, relative to higher
education.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 43-6-502, is amended by deleting subsection (a) and substituting instead the following:

(a) The University of Tennessee shall initiate and administer a two-year black fly suppression program using a biological control agent in the Greenbrier Valley and the areas adjacent to the Pigeon River under the supervision of the department of agriculture. The university shall study the biological and socioeconomic effects of the suppression program on the region.

SECTION 2. Tennessee Code Annotated, Section 49-4-204, is amended by deleting the section and substituting:

The Tennessee student assistance corporation shall promulgate rules governing the making of awards of financial assistance, to establish criteria for the restriction or suspension of an eligible postsecondary institution's participation in this state's financial aid programs for noncompliance with applicable statutory or regulatory requirements, and to carry out and make effective the purposes of parts 2, 3, and 6-9 of this chapter. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 3. Tennessee Code Annotated, Section 49-4-301, is amended by deleting the section and substituting instead the following:

(a) As used in this part:

(1) "Eligible postsecondary institution" means:

(A) An institution in the state university and community college system, or an institution in the University of Tennessee system;

(B) An eligible independent postsecondary institution as defined in § 49-4-902; or

(C) A postsecondary institution that was eligible for awards under this part and whose students received such awards in the academic year beginning July 1, 2025, and that remains accredited by an accrediting agency recognized by the United States department of education;

(2) "Eligible program of study" means:

(A) A curriculum of courses leading to a certificate or diploma at a Tennessee college of applied technology; or

(B) A federal Title IV-eligible curriculum of courses leading to a certificate, diploma, or an associate or a bachelor's degree at an eligible postsecondary institution;

(3) "FAFSA" means the Free Application for Federal Student Aid;

(4) "Financial need" means having a valid SAI on a student's FAFSA that is at or under the eligible SAI established by the executive director of the Tennessee higher education commission;

(5) "Primary campus" means the main location or campus where the eligible postsecondary institution is headquartered and typically conducts its central administrative operations for its programs and campuses;

(6) "Resident" means a student classified as a resident of this state pursuant to § 49-8-104;

(7) "SAI" means the Student Aid Index, which is a calculation in the FAFSA to determine student eligibility for financial aid; and

(8) "TSAC" means the Tennessee student assistance corporation.

(b) There is established the Tennessee student assistance program, which is administered by the Tennessee student assistance corporation.

(c) To be eligible for a Tennessee student assistance award provided through the Tennessee assistance program, a student with financial need must:

(1) Be a resident of this state;

(2) Be enrolled or intend to enroll full-time or part-time in an eligible program of study at an eligible postsecondary institution; and

(3) Submit an application, as required by TSAC.

(d) Students who are citizens of the United States must receive priority in the making of Tennessee student assistance awards.

SECTION 4. Tennessee Code Annotated, Section 49-4-302, is amended by deleting the section and substituting:

(a) TSAC shall pay a Tennessee student assistance award on behalf of a student directly to the eligible postsecondary institution in which the student is enrolled or intends to enroll. The eligible postsecondary institution shall promptly credit the payments received from TSAC to individual student accounts, to be applied first to any educational expenses the student owes the institution. Any amount of the award remaining after payment of any educational expenses must be disbursed to the individual student up to the cost of attendance.

(b) TSAC shall make payments of all Tennessee student assistance awards in approximately equal installments after the beginning of each academic term, upon:

(1) Certification from the eligible postsecondary institution that each student is officially enrolled in an eligible program of study; and

(2) TSAC's determination that the eligible postsecondary institution has complied with state statutory and regulatory financial aid requirements, including any requirements stipulated to in a TSAC compliance review.

SECTION 5. Tennessee Code Annotated, Section 49-4-303, is amended by deleting the section and substituting:

A Tennessee student assistance award must be based on the financial need of the student. If a student's financial need is less than one hundred dollars (\$100), then the student is ineligible for an award pursuant to this part.

SECTION 6. Tennessee Code Annotated, Section 49-4-304, is amended by deleting the section and substituting:

TSAC shall renew an award only upon the student's application and upon verification that the applicant has satisfactorily completed the work in the immediately preceding academic year, that the applicant remains a resident of this state, and that the applicant's financial situation continues to warrant the award pursuant to this part and the policies and rules adopted or promulgated by TSAC.

SECTION 7. Tennessee Code Annotated, Section 49-4-306, is amended by deleting the section and substituting:

If the recipient of an award falsifies information on the application, then TSAC may, upon evidence, revoke the award. If a person's award is revoked pursuant to this section, then the person is prohibited from further payment or benefits of the award.

SECTION 8. Tennessee Code Annotated, Section 49-4-705, is amended by deleting the section.

SECTION 9. Tennessee Code Annotated, Section 49-4-903(b), is amended by deleting the subsection and substituting:

(b) THEC shall provide assistance to the general assembly and to TSAC by researching and analyzing data concerning the scholarship and grant programs created under this part, including, but not limited to, student success and scholarship retention. THEC shall report its findings annually to the education committee of the senate and the committees of the house of representatives having jurisdiction over education.

SECTION 10. Tennessee Code Annotated, Section 49-4-913(a), is amended by deleting the subsection and substituting:

(a) Except as set forth in §§ 49-4-919, 49-4-930, 49-4-931, and 49-4-937, a student may receive a Tennessee HOPE scholarship until the first of the following events:

- (1) The student has earned a bachelor's degree unless the student maintains continuous enrollment toward an advanced degree;
- (2) The student has earned an advanced degree; or
- (3) Five (5) years have passed from the date of the student's initial enrollment at any postsecondary institution.

SECTION 11. Tennessee Code Annotated, Section 49-4-919, is amended by deleting subsection (b) and substituting:

(b) Except for approved medical or personal leaves of absence, a Tennessee HOPE scholarship student, including a part-time student, must maintain continuous enrollment as a student at an eligible postsecondary institution.

SECTION 12. Tennessee Code Annotated, Section 49-4-933(d)(2), is amended by deleting the subdivision and substituting:

- (2) Until a terminating event under § 49-4-913 occurs.

SECTION 13. Tennessee Code Annotated, Section 49-4-943(c)(1)(A), is amended by deleting the subdivision and substituting:

(A) Maintain continuous enrollment in the eligible postsecondary program as defined by the eligible postsecondary institution; and

SECTION 14. Tennessee Code Annotated, Section 49-7-112(e), is amended by deleting the subsection and substituting:

(e) The commission shall annually provide a copy of the report to the education committee and the commerce and labor committee of the senate, the committees of the house of representatives having jurisdiction over education and commerce, and the governor. The commission shall send the report to the commissioners of economic and community development, labor and workforce development, and education. The commission shall also send the report to the board of regents, the University of Tennessee board of trustees, each of the state universities, and the Tennessee Independent Colleges and Universities Association. The commission shall work with the department of education to provide the report to the state's public school districts and private elementary, middle, and high schools. The report may be provided electronically.

SECTION 15. Tennessee Code Annotated, Section 49-7-121, is amended by deleting the section.

SECTION 16. Tennessee Code Annotated, Section 49-7-202(r), is amended by deleting the subsection and substituting:

(r)

(1) The commission shall require all state institutions of higher education to collaborate and develop a transfer pathway for at least the fifty (50) undergraduate majors for which the demand from students is the highest and in

those fields of study for which the development of a transfer pathway is feasible based on the nature of the field of study.

(2)

(A) A transfer pathway shall consist of sixty (60) hours of instruction that a student can transfer and apply toward the requirements for a bachelor's degree at a public institution that offers the transfer pathway. The sixty (60) hours of instruction in a transfer pathway must consist of forty-one (41) hours of general education courses instruction and nineteen (19) hours of pre-major courses instruction, or elective courses instruction that count toward a major, as prescribed by the commission, which must consider the views of faculty, advisors, and chief academic officers of the respective campuses. Courses in a transfer pathway must transfer and apply toward the requirements for graduation with a bachelor's degree at all public universities.

(B) A non-technical associate degree graduate from a Tennessee community college is deemed to have met all general education and university parallel core requirements for transfer to a four-year state institution of higher education as a junior. Notwithstanding this subdivision (r)(2)(B), admission into a particular program, school, or college within a university, or into the University of Tennessee, Knoxville, must remain competitive in accordance with generally applicable policies.

(C) The forty-one-hour lower division general education core common to all state colleges and universities is fully transferable as a block to, and satisfies the general education core of, any public community college or university. A completed subject category, for

example, natural sciences or mathematics, within the forty-one-hour general education core is also fully transferable and satisfies that subject category of the general education core at any public community college or university.

(D) The nineteen-hour lower division area of emphasis articulated to a baccalaureate major is universally transferable as a block satisfying lower division major requirements to any public university offering that degree program major.

(E) All new or existing transfer pathways must be reviewed on a rotating basis at least once every five (5) years. Any proposed pathway that exceeds the prescribed hours of instruction must be approved by the commission.

(3)

(A) A technical transfer pathway consists of approved coursework from a certificate, diploma, or associate of applied science program. The coursework articulated in a technical transfer pathway must be transferrable to an associate or bachelor's degree at a participating institution. The credit or clock hours in the pathway are determined by the degree, as prescribed by the commission, which must consider the views of faculty, advisors, and chief academic officers and faculty of the respective campuses.

(B) All new or existing technical transfer pathways must require review on a rotating basis at least once every five (5) years.

(4) It is the legislative intent that community college students who wish to earn baccalaureate degrees in this state's public higher education system be

provided with clear and effective information and directions that specify curricular paths to a degree. To meet the intent of this section, the commission, in consultation with the governing boards of all state institutions of higher education, shall develop, and the governing boards of all state institutions of higher education shall implement, the following:

(A) A common course numbering system, taking into consideration efforts already undertaken by the community colleges, to address the requirements of subdivision (r)(1);

(B) Listings of course offerings that clearly identify courses that are not university parallel courses and are therefore not designed to be transferable under subdivision (r)(1); and

(C) A dual admissions policy in which a person who satisfies the admissions requirements of a two-year institution governed by the board of regents and a public university while pursuing a degree program within a transfer pathway program of study is authorized to be admitted to both institutions.

(5) The commission has the ongoing responsibility to update and revise the plans implemented pursuant to this subsection (r) and to report to the chairs of the education and finance, ways and means committees of the senate and the chairs of the committees of the house of representatives having jurisdiction over transfer pathways and financing higher education annually on the progress made toward full articulation between all public institutions.

SECTION 17. Tennessee Code Annotated, Section 49-7-204(d), is amended by deleting the subsection and substituting instead:

(d)

(1) The governor shall call the commission's first meeting after all members have been appointed.

(2) After the first meeting, the commission shall meet at least four (4) times each year.

(3) Except as provided in subdivision (d)(4), meetings of the commission must be made available for viewing by the public over the internet by streaming video, accessible from the commission's website. Archived videos of the commission's meetings must also be made available to the public through the commission's website.

(4) Notwithstanding another law to the contrary, the commission may conduct private meetings to discuss or deliberate on matters related to senior administration, personnel positions, and contracts; provided, that the commission shall not take action on matters related to senior administration, personnel positions, and contracts in a private meeting.

SECTION 18. Tennessee Code Annotated, Section 49-7-210(e), is amended by deleting the subsection and substituting:

(e) The fact book must be published annually as soon as practicable upon receipt of necessary student data from the systems and other sources. The fact book must be made available in web-based and printable formats.

SECTION 19. Tennessee Code Annotated, Title 49, Chapter 7, Part 2, is amended by adding the following as a new section:

The commission may designate public and private nonprofit institutions of higher education as transfer designation institutions that prioritize the success of students with transfer credit. Transfer designation institutions must be committed to improving student outcomes by recognizing and accepting both traditional and non-traditional credit,

removing barriers, decreasing credit loss, and providing relevant support to students. An institution seeking designation as a transfer designation institution must apply by submitting a written request to the executive director of the commission.

SECTION 20. Tennessee Code Annotated, Section 49-7-1310(c)(3), is amended by deleting the subdivision.

SECTION 21. Tennessee Code Annotated, Section 49-7-2004(a), is amended by adding the following as a new subdivision:

(13)

(A) Education offered to an apprentice through a registered apprenticeship program approved by the department of labor and workforce development by or on behalf of a sponsor or employer associated with the registered apprenticeship program number.

(B) Education offered to a person other than an apprentice is not exempt pursuant to this subdivision (a)(13).

(C) As used in this subdivision (a)(13):

(1) "Apprentice" means the same as the term is defined in § 50-11-102;

(2) "Apprenticeship program" means the same as the term is defined in 29 .C.F.R. § 29.2;

(3) "Employer" means the same as the term is defined in § 50-11-102; and

(4) "Sponsor" means the same as the term is defined in § 50-11-102.

SECTION 22. Tennessee Code Annotated, Section 49-7-2701, is amended by deleting subsection (c).

SECTION 23. Tennessee Code Annotated, Section 49-8-1401, is amended by deleting subsection (c).

SECTION 24. Tennessee Code Annotated, Section 49-9-301, is amended by deleting the section.

SECTION 25. Sections 9, 14, 16, and 18 of this act take effect upon becoming a law, the public welfare requiring it. All other sections of this act take effect July 1, 2026, the public welfare requiring it.